

Marketing Strategy and the Marketing Mix

- Market targeting is the process of evaluating each market segment's attractiveness and selecting one or more segments to enter.
- Market positioning is the arranging for a product to occupy a clear, distinctive, and desirable place relative to competing products in the minds of target consumers.
- Differentiation begins the positioning process.

Marketing Strategy and the Marketing Mix

- Developing an Integrated Marketing Mix
- Marketing mix is the set of controllable, tactical marketing tools—product, price, place, and promotion—that the firm blends to produce the response it wants in the target market.

Positioning

- Positioning is the act of designing the company's offering and image to occupy a distinctive place in the mind of the target market.
- The end result of positioning is the successful creation of a consumer-focused **value-proposition**.
 - Volvo – 'The safest, most durable wagon in which your family can ride'.
 - Domino's – 'A good hot pizza, delivered to your door within 30 minutes of ordering, at a moderate price'.

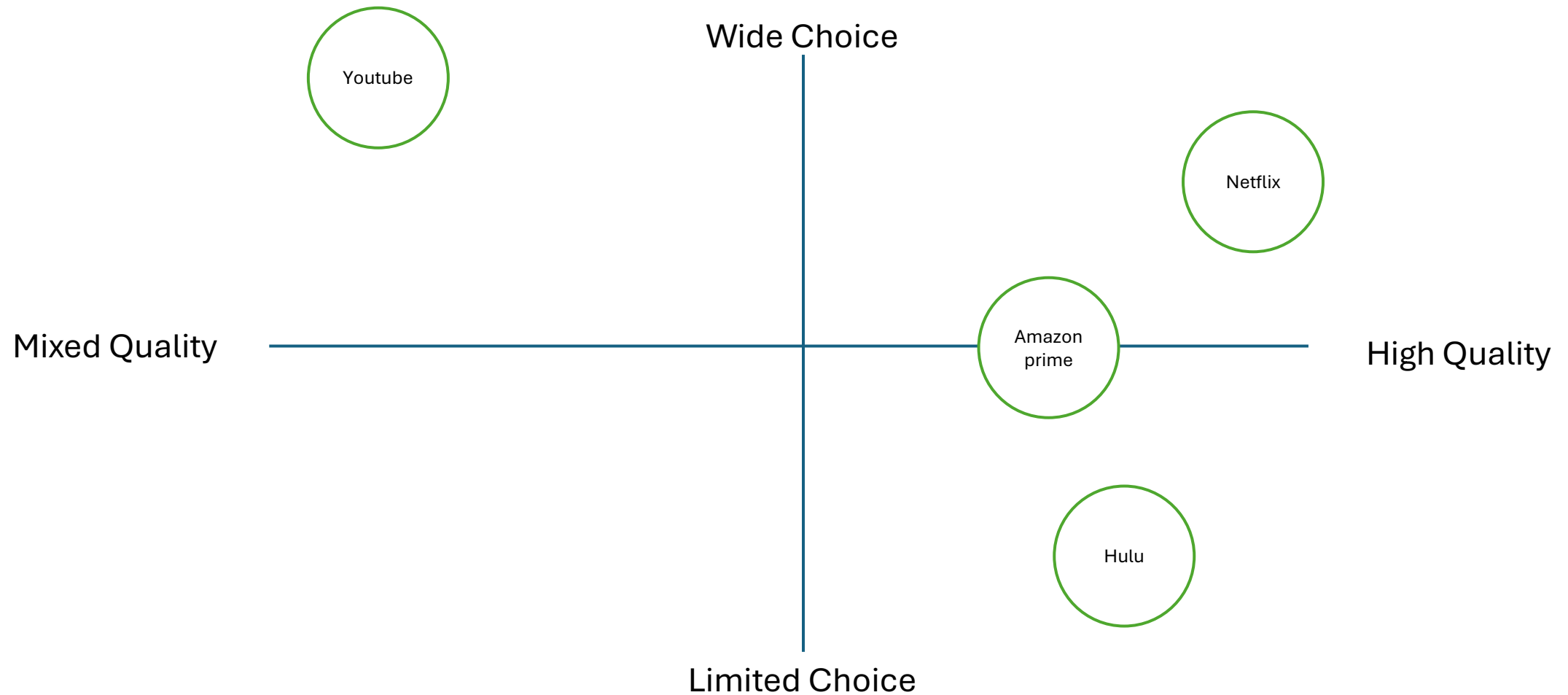
Positioning errors

- **Underpositioning** – some companies think that buyers have only a vague idea of the brand. The brand is seen as just another entry into the crowded marketplace.
 - E.g., pepsi introduced ‘Crystal Pepsi’ in 1993, customers were unimpressed.
- **Overpositioning** – Buyers may have too narrow an image of the brand.
 - E.g., customer thinks diamond rings at Tiffany starts at \$5000, but \$1000 rings are also available.
- **Confused positioning** – company’s too many claims or changing brand’s positioning too frequently.
 - E.g., NeXT desktop computer – first positioned for students, then engineers, then business people.
- **Doubtful positioning** – buyers find it hard to believe the brand claims in view of the product features, price, or manufacturer.
 - E.g., GM’s Cimarron – positioned as “more for more”: customers saw it as “less for more.”

Different positioning possibilities

- **Attribute positioning** – a company positions itself on an attribute, such as size or number of years in existence.
- **Benefit positioning** – the product is positioned as a leader in a certain benefit.
- **Use or application benefit** – positioning the product as best for some use or application.
- **User positioning** – positioning the product as best for some user group.
‘Mountain Due’ for “**thrill seekers.**”
- **Competitor positioning** – product claims to be better than the competitors.
- **Product category positioning** – product is positioned as the leader in a certain product category.
- **Quality or price positioning** – the product is positioned as offering the “**best value.**”

Perceptual Map



Product life-cycle marketing strategies

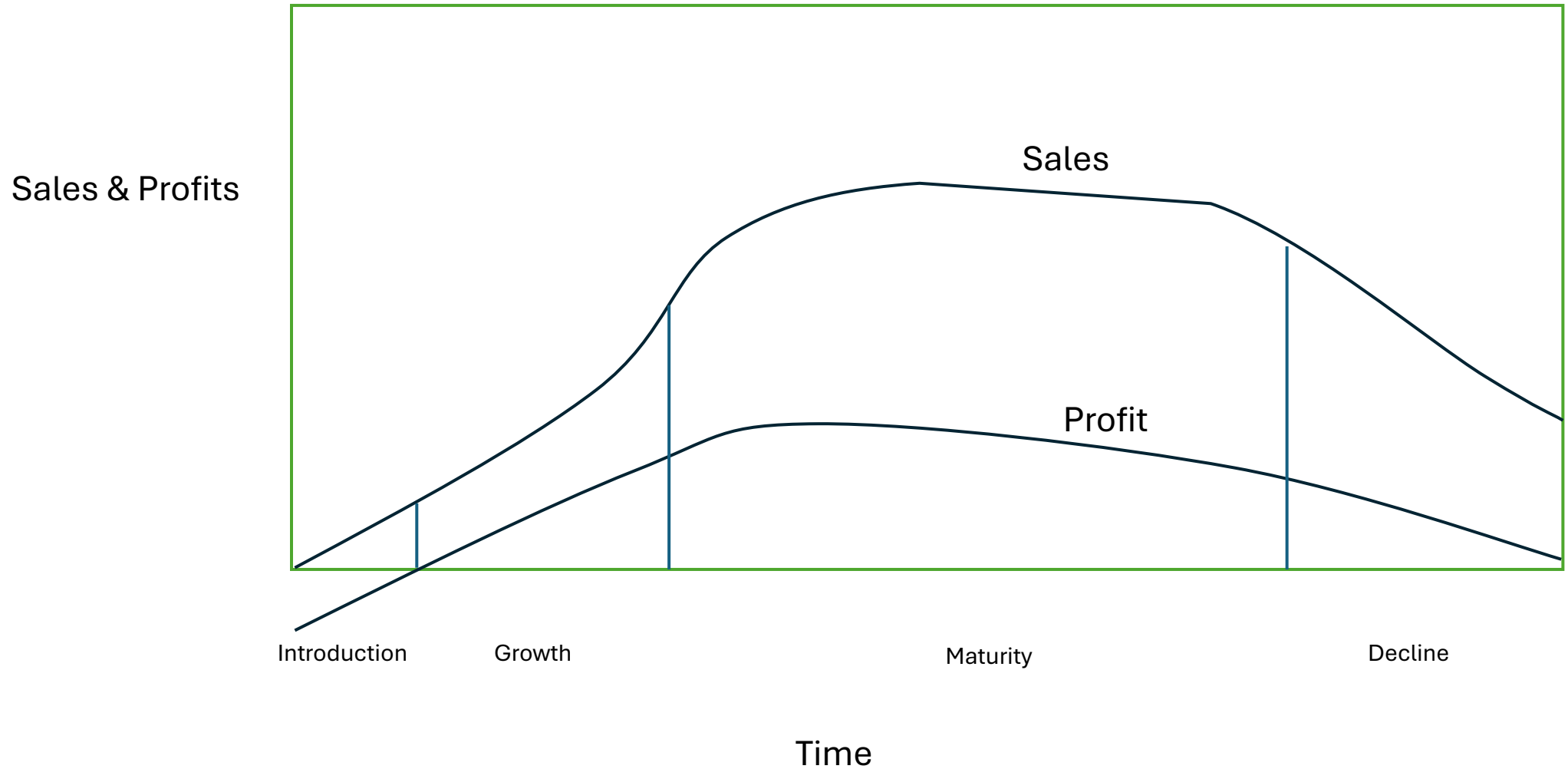
To say that a product has a life cycle is to assert 4 things:

1. Products have a limited life.
2. Product sales pass through distinct stages, each posing different challenges, opportunities, and problems to the seller.
3. Profits rise and fall at different stages of the product life cycle.
4. Products require different marketing, financial, manufacturing, purchasing, and human resource strategies in each life-cycle stage.

Product life cycles

- **Introduction** – A period of slow sales growth as the product is introduced in the market. Profits are nonexistent because of the heavy expenses incurred with product introduction.
- **Growth** – A period of rapid market acceptance and substantial profit improvement.
- **Maturity** – A period of a slowdown in sales growth because the product has achieved acceptance by most potential buyers. Profits stabilize or decline because of increased competition.
- **Decline** – The period when sales show a downward drift and profits erode.

Sales and Profit Life Cycles



New Product Development

- Existing products are vulnerable to changing customer needs and tastes, new technologies, shortened PLCs, and increased competition.
- Most established companies focus on incremental innovation.
- Newer companies create disruptive technologies that are cheaper and alter the competitive space.

Why do new products fail?

- A high-level executive pushes a favourite idea inspite of negative market research findings.
- The idea is good, but the market size is overestimated.
- The product is not well designed.
- The product is incorrectly positioned in the market, not advertised effectively, or overpriced.
- The product fails to gain sufficient distribution coverage or support.
- Development costs are higher than expected.
- Competitors fight back harder than expected.

Factors that hinder new product development

- **Shortage of important ideas in certain areas** – steel, detergents.
- **Fragmented markets** – smaller segments means lower sales and lower profits for each product.
- **Social and governmental constraints** – safety norms and environmental concerns.
- **Cost of development** – high R&D, manufacturing, and marketing costs.
- **Capital shortages**
- **Faster required development time.**
- **Shorter product life cycles** – rivals are quick to copy.

The New-Product Development Decision Process

1. Idea generation
2. Idea screening
3. Concept development and testing
4. Marketing strategy development
5. Business analysis
6. Product development
7. Market testing
8. Commercialization

1. Idea Generation

- Interacting with others
 - Customers using the company's products.
 - Employees inside the company suggesting product improvement.
 - By researching competitor's products
- Creativity techniques
 - **Attribute listing** – screwdriver with wooden handle, different screw heads.
 - **Forced relationships** – list several ideas, consider each in relation to other.
 - **Morphological analysis** – “getting something from one place to another via a powered vehicle.” – medium (air, water, rails), power (electric motor, magnetic field).
 - **Reverse assumption analysis** – instead of standard menus, the restaurant may decide to serve what the chef procured fresh for the day.
 - **New contexts** – putting ‘human-help’ services in animal contexts, such as ‘animal funerals.’
 - **Mind-mapping** – write a thought on a piece of paper (car), next the name (Mercedes), next the country (Germany) – perhaps new ideas will materialize.

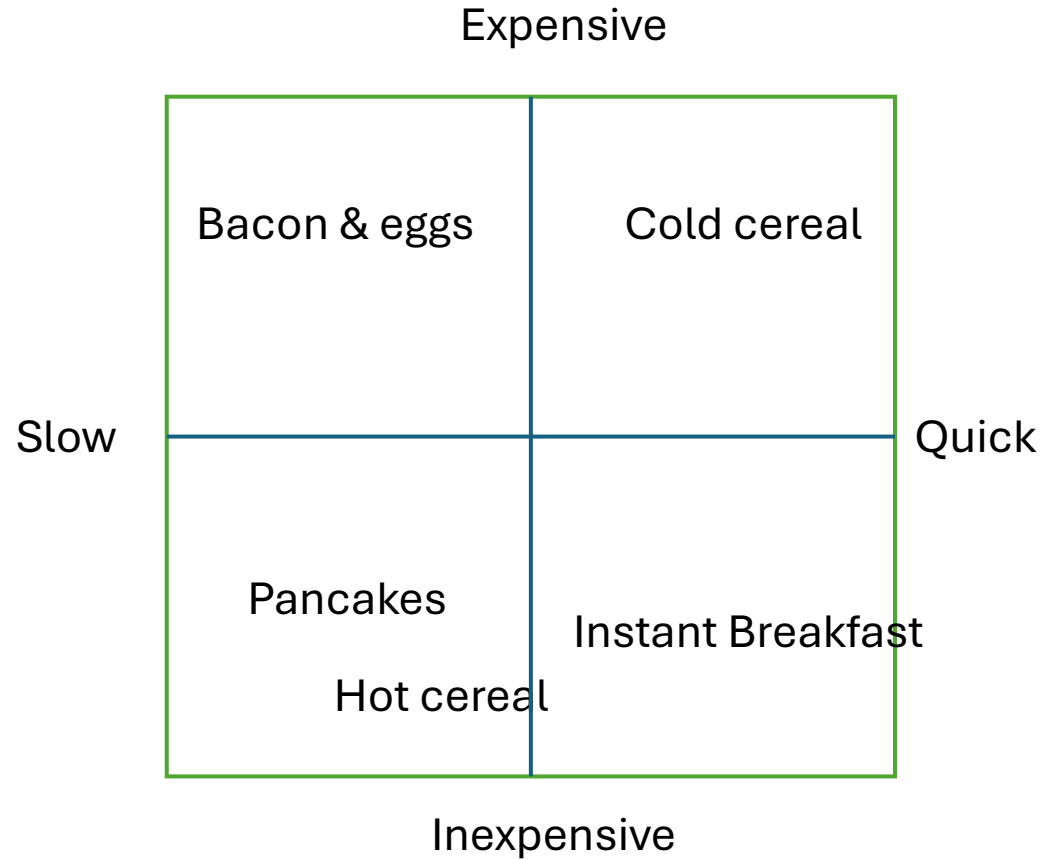
2. Idea Screening

- Idea Manager – receives new ideas.
- Idea Committee – ideas are reviewed on a weekly basis.
 - Promising ideas
 - Marginal ideas
 - Rejects
- Company must avoid **‘drop-errors’** and **‘go-errors’**

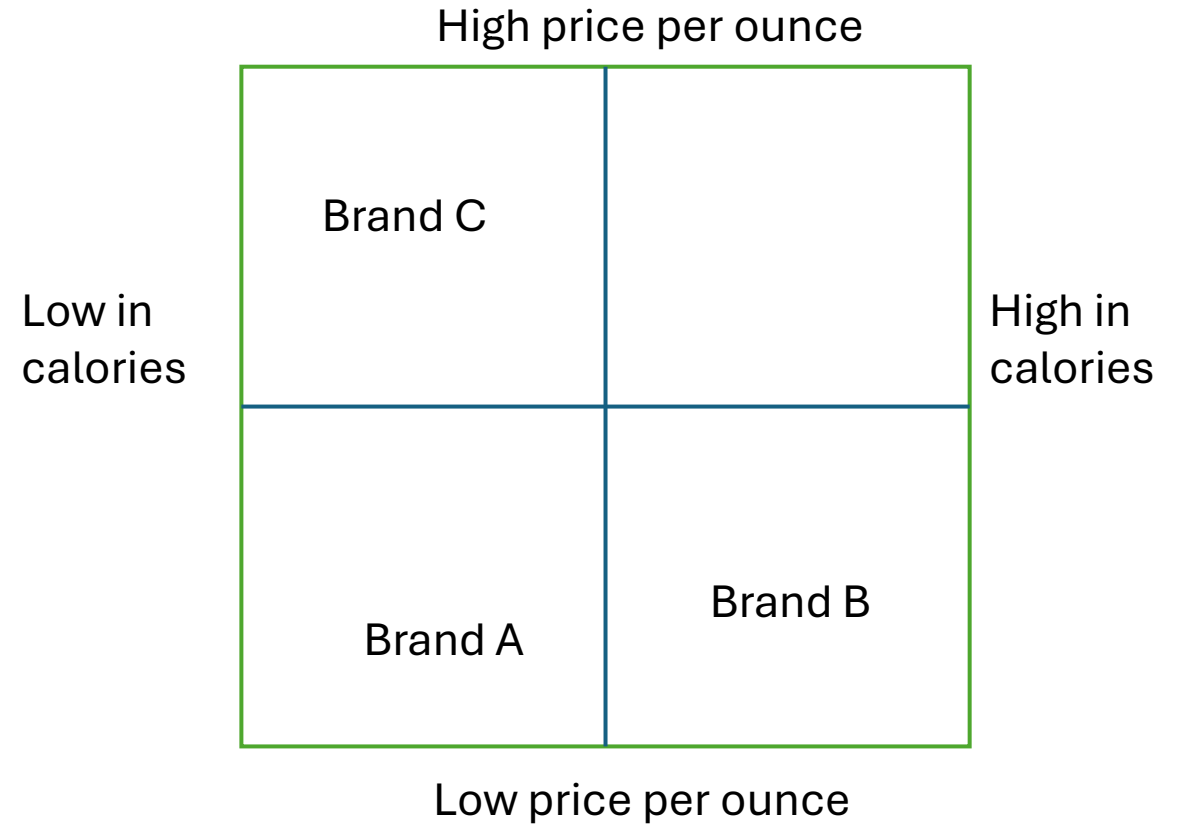
3. Concept development and testing

- Who will use the product? – infants, children, teenagers, older adults.
- What primary benefits should the product provide? - taste, nutrition, energy.
- When will people consume the drink? – breakfast, mid-morning, lunch, dinner.
- **Concept 1** – An instant breakfast drink for adults who want a quick nutritious breakfast without preparation.
- **Concept 2** – A tasty snack drink for children to drink as a mid-day refreshment.
- **Concept 3** – A health supplement for older adults to drink in the late evening before they go to bed.

Product-positioning Map
(Breakfast Market)



Brand-positioning Map
(instant breakfast market)



Concept Testing

- Presenting the product concept to appropriate target consumers and getting their reaction.
- The concept can be presented symbolically or physically.
- Consumers respond to the following
 - Communicability and believability
 - Need level
 - Gap level
 - Perceived value
 - Purchase intention
 - User targets, purchase occasions, purchase frequency.

4. Marketing strategy development

- First, describe target market size, structure & behaviour, the planned product positioning, and sales, market share, and profit goals for the first few years.
- Second, outline the planned price, distribution strategy, and marketing budget for the first year.
- Third, describe the long-run sales and profit goals and marketing-mix strategy mix over time.

5. Business Analysis

Estimating total sales – first-time sales, replacement sales, and repeat sales.

Estimating costs and profits

6. Product development

- Take the list of desired customer attributes.
- Turn customer attributes into a list of engineering attributes.
- **Alpha test** – testing prototype within the firm.
- **Beta test** – enlists customers to use the prototype and give feedback.

7. Market Testing

- Sales-Wave testing – consumers who initially try the product at no cost are reoffered the product at slightly reduced price.
- Simulated test marketing
 - 30 to 40 qualified shoppers are questioned about familiarity and preferences in a product category.
 - They are given small amount of money and invited into a store.
 - The company notes, howmany buy the new brand and the competing brands.
- Test markets
 - How many test cities?
 - Which cities?
 - Length of test?
 - What information?
 - What action to take?

8. Commercialization

- When (Timing)
 - First entry – gives “first mover advantage.”
 - Parallel entry – coincides with competitor’s entry
 - Late entry – after the competitor has entered
- Where (Geographic strategy)
- To whom (Target-market prospects) – early adoptors, heavy users, opinion leaders.